

São Paulo, August 15th

Request to Appear at Section 301 Hearing

Hearing Information: USTR will hold a hearing in connection with the Section 301 investigation on September 3, 2025.

Presenter: Marcos Antonio Matos, General Director

Organization: Brazilian Coffee Exporters Council

Summary of Testimony: The Brazilian Coffee Exporters Council (Cecafé) is the legitimate representative of the green coffee exporting sector. Cecafé's 126 associate members, including national companies, global traders, and coffee growers' cooperatives, have been responsible for 96% of green coffee shipments from Brazil to 150 countries in recent years, with the United States being the main destination.

Key Points:

1. Tariffs and Preferential Trade Agreements: When it comes to foreign coffee trade, the commercial relationship between the United States and Brazil is far from disadvantageous to the U.S. On the contrary, it has consistently benefited American consumers, businesses, and the broader coffee industry. In the trade relationship between the two countries, Brazil and the United States are indispensable to one another. Brazilian coffee accounts for more than 30% of the U.S. coffee market, making Brazil its leading supplier. In turn, the U.S. is the top destination for Brazilian coffee, accounting for 16% of total exports. Brazilian coffee is a key component in the blends offered to American consumers. Its natural attributes—aroma, flavor, body, acidity, and sweetness—are distinctive and irreplaceable. Coffee drinkers have come to expect these qualities. As such, long-standing brands—icons of the American economy—could be negatively affected or even disappear if forced to alter their blends. Beyond its recognized importance to Brazil, coffee is also of major relevance to the United States. According to a 2022 economic impact study conducted by Technomic for the NCA, 76% of Americans consume coffee; annual spending on coffee and related products reaches USD 110 billion (USD 301 million per day); and coffee accounts for more than 8% of the total value of the U.S. foodservice industry. The U.S. coffee industry also supports over 2.2 million jobs and generates more than USD 101 billion in wages, benefiting all states and local communities. For every USD 1 spent on imported coffee, an additional USD 43 is injected into the U.S. economy. In total, the sector moves USD 343 billion annually, equivalent to 1.2% of the country's GDP. In light of coffee's importance to both American consumers and the U.S. economy, we believe the decision to impose a 50% tariff on Brazilian coffee must be reconsidered. Such a measure would result in significant price increases and inflation, as the added costs will inevitably be passed on to consumers. Therefore, Cecafé will continue working alongside its U.S. partners to ensure that coffee is included among the products exempted from the 50% tariff.

2. Illegal Deforestation: Brazilian coffee is cultivated in long-established agricultural regions and is not a driver of deforestation. The sector is rooted in science and sustainability, with producers adopting advanced technologies and good practices that significantly boost productivity. This

progress enables the preservation of native vegetation within rural properties, in alignment with Brazil's Forest Code.

Thanks to sustained investment in research, coffee yields have increased from 9 bags per hectare in the 1990s to approximately 30 bags per hectare today. According to a study by Embrapa Territorial based on Brazil's Rural Environmental Registry (CAR), coffee-producing states preserve 43.9 million hectares of native vegetation within rural properties—on average, more than 20% of each state's territory (Source: <https://sites.google.com/view/websitecar2021/resultados>).

Research conducted as part of Cecafé's carbon agenda, in partnership with Professor Carlos Eduardo Cerri of Esalq/USP and Imaflora, quantified the environmental benefits of preserved native vegetation in coffee farms. On the arabica coffee farms evaluated in the Minas Gerais study, an average of 183 t CO₂eq is stored in the form of permanent preservation areas and legal reserves. On the farms evaluated in Espírito Santo, it was found that for each hectare of conilon coffee cultivated, 338.67 t CO₂eq is stored in the form of preserved native vegetation on the farms. The full research (two reports) are available at <https://www.cecafe.com.br/en/>

Brazilian coffee exporters are deeply committed to sustainability and traceability across their supply chains. In preparation for the EU Deforestation Regulation (EUDR), Cecafé, in partnership with Sersa Experian, launched a collective initiative to monitor socio-environmental conditions in coffee-growing areas. Using data from Prodes and MapBiomas, the project allows the exporters to provide robust evidence that Brazilian coffee is not grown on deforested land and complies with national environmental legislation (methodology available at https://www.cecafe.com.br/site/wp-content/uploads/2025/06/BR_Coffees_Platform_Cecafevf.pdf).

This demonstrates that Brazil's coffee export chain is organized, proactive, and firmly committed to delivering sustainable coffee to global markets.

We appreciate consideration of our request to testify at the Hearing on the Section 301 Investigation of Acts, Policies, and Practices of Brazil Related to Digital Trade and Electronic Payment Services; Unfair, Preferential Tariffs; Anti-Corruption Enforcement; Intellectual Property Protection; Ethanol Market Access; and Illegal Deforestation.

Sincerely,



Marcos Antonio Matos
CEO